



CFC FINLEASE PRIVATE LIMITED

SEBI ESG RATING PROVIDER

Registration No. IN/ERP/Category-II/0011

ESG Rating Methodology



RATING METHODOLOGY

An ESG rating provider assesses, evaluates, rates and scores businesses based on their Environmental, Social, and Governance (ESG) performance and practices. ESG ratings are designed to assess a company's performance and impact in these three key areas Environmental, Social, and Governance (ESG), providing investors, stakeholders, and the general public with insights into how well a company manages its non-financial risks and opportunities. ESG ratings as the rating products are marketed as opinions about an issuer or a security, regarding its ESG profile or characteristics or exposure to ESG risk, governance risk, social risk, climatic or environmental risks, or impact on society, climate and the environment, that are issued using a defined ranking system of rating categories, whether or not these are explicitly labelled as “ESG ratings”.

ESG ratings have gained significant importance as investors, stakeholders, and consumers increasingly consider these factors when evaluating companies. Investors, stakeholders, and customers increasingly consider these factors when assessing the sustainability and long-term viability of a company. ESG factors have become increasingly important for investors, stakeholders, and consumers who want to assess a company's sustainability, social impact, corporate governance and ethical practices. ESG ratings help provide transparency and comparability among companies in terms of their ESG efforts. ESG ratings help these parties make informed decisions that align with their values and investment goals. These ratings have gained significant importance as sustainable and responsible investing practices have become more prevalent.

Here's a general outline of our ESG rating methodology:

1. Scoring Methodology and Criteria Development:

We ESG rating provider developed a proprietary robust methodology and comprehensive scoring criteria to assess, evaluate, rate and score companies' ESG performance by assigning weights to different ESG factors based on their importance and relevance to various industries. The methodology is typically complex algorithms that weigh different ESG factors based on their significance and relevance to specific industries. The methodology defines the criteria, indicators, and metrics used to assess environmental impact, social practices, and governance structure. The criteria significantly prioritize different factors and use different weightings for each category. These criteria include factors like carbon emissions, water usage, labour practices, diversity and inclusion, executive compensation, board structure, etc.

The criteria is designed to be transparent and clear about how the ESG scores are calculated and adaptable to changes in industry norms and regulations. We considered industry-specific nuances to provide a fair comparison between companies. We have also considered tailoring the methodology for different industries, as ESG factors can vary significantly across sectors and allow for continuous refinement of the methodology as ESG trends evolve. We shall ensure that the ESG rating suitably incorporates the environmental, social and governance aspects that are contextual to the Indian market, in such manner as may be specified by the SEBI Board from time to time.

2. Research, Data Collection and Aggregation:

We ESG rating provider have appropriate internal resources to assign an ESG rating. We collect environmental impact, social practices, and corporate governance data from various sources, including company disclosures, regulatory filings, news articles, surveys, proprietary databases, other reliable third-party databases and sometimes through direct engagement with the companies themselves.

We utilize advanced data scraping techniques and partnerships to ensure comprehensive coverage. We utilize artificial intelligence and machine learning to automate data collection and analysis. We also use machine learning and natural language processing techniques to extract relevant information from unstructured data. This data could include information on carbon emissions, diversity and inclusion policies, executive compensation, labour practices, community engagement, and much more. This data collection process is crucial for generating accurate and comprehensive ESG ratings.

We adopt and implement written policies and procedures to ensure the issuance of high quality ESG ratings based on publicly available information, and if such information is not available publicly, then rely on other information sources using transparent and defined methodologies.

3. Data Analysis and Interpretation:

We ESG rating provider developed sophisticated algorithms to analyse ESG data and generate meaningful insights. Advanced data analytics and machine learning techniques are deployed to process large volumes of data efficiently and derive insightful information. The collected data is analyzed and scored according to the established methodology, specific metrics and criteria. The scoring process involves quantitative metrics (e.g., energy consumption, waste generation, greenhouse gas emissions) as well as qualitative factors (e.g., board diversity, employee satisfaction, ethical business practices). We use a combination of quantitative and qualitative analysis to evaluate companies' ESG performance. This helps in quantifying a company's performance in each ESG category and generating an overall ESG score. We have created a framework that assigns weights to different ESG factors based on their relevance and

significance. Companies can vary significantly in size, industry, and geographical location. So we normalize the data to ensure fair comparisons between companies. This might involve measuring a company's performance relative to its peers or industry benchmarks.

4. Scoring and Weighting System :

Based on the analysis, we shall assign a score to each indicator based on the performance relative to predefined criteria's for each company in various ESG dimensions. The score shall be presented numerically from 0-100 where 100 represents the maximum score. ESG reports shall indicate qualitative data through letter grades, easy-to-understand visual representations such as graphs and charts and other intuitive formats that are an easily understandable representation of a company's ESG performance for investors and other stakeholders. Different ESG factors are given different weights based on their perceived importance in a specific industry or context. For example, environmental factors might be more heavily weighted for a manufacturing company, while governance factors might be more significant for a consumer goods company. We can offer sub-scores for various subcategories within ESG. We can also offer both overall ESG scores and individual scores for environmental, social, and governance categories. Individual criterion scores are aggregated to produce an overall ESG score for a company.

5. ESG Ratings Publication:

Companies are assigned ESG ratings based on their scores. These ratings can range from A++ to C and might also include qualifiers such as "Outstanding" "Excellent" or "Average" etc. We publish our ratings for individual companies. These ratings will be in the form of letters, numbers, or other indicators that convey a company's ESG performance to investors and stakeholders.

ESG Ratings help investors and stakeholders quickly understand a company's ESG performance. We promptly disclose the ESG rating assigned to any issuer or security, and any changes in ESG ratings or reviews, after periodic review or otherwise, to the stock exchange(s) where the issuer or the security is listed, and on our website for the information of the investors.

6. Reports and Insights Dashboards:

We ESG rating provider generate comprehensive reports and insights for each rated company. These reports detail the company's strengths and weaknesses in the different ESG categories and often provide recommendations for improvement. We will develop online platforms and dashboards where companies can access their ratings and benchmark against peers. We will offer customized reporting options for investors, analysts, and other stakeholders. The insights can be used by companies to enhance their ESG practices whereas the reports are often used by investors, asset managers, and other stakeholders to make informed decisions.

7. Continuous Monitoring and Updates:

ESG performance is not static, so we as ESG rating provider continuously offer ongoing monitoring and updates so that the ESG ratings accurately reflect the current state of a company's ESG efforts and company ratings are updated as new data becomes available. This ensures that the ratings reflect the practices change and the most current information about a company's ESG practices. This also allows subscribers to track changes and improvements over time. ESG performance is dynamic, and companies' practices evolve over time. Keep up with regulatory changes and industry standards to ensure the rating methodology remains relevant. ESG rating providers need to constantly refine their methodologies and adapt to changing ESG landscapes.

This might involve incorporating new data sources, refining scoring models, and staying up-to-date with evolving sustainability trends. We shall have written policies, procedures and internal controls to ensure that the processes and methodologies are rigorous and systematic, are consistently applied, and are periodically reviewed and updated. We ESG rating provider shall continuously monitor the rating of a client, unless the rating is withdrawn in such manner as may be specified by the SEBI Board.

8. Customized Services and Solutions:

We ESG rating provider offer customized services, such as tailored reports for specific industries or regions, services to help companies improve their ESG performance, and integration services to embed ESG data into investment decision-making processes.

We will offer tailored solutions to meet the diverse needs of our clients. This could include specialized reports for different industries, benchmarking against peers, and portfolio-level assessments. These reports highlight areas where a company can improve its ESG performance and provide recommendations for sustainable practices. We shall respond to, and address issues flagged by issuers covered by our ESG rating products while ensuring that the same does not compromise the objectivity of the products.

9. Transparency and Communication:

We as ESG rating provider are transparent about our methodologies, data sources, potential conflicts of interest and the criteria used for evaluating companies. Clear communication is essential to maintain credibility and trust. We demonstrate independence by avoiding undue influence from the companies being rated or other stakeholders.

Transparency is crucial in the ESG rating industry. This has build trust and credibility among users of our ratings, including investors, fund managers, and corporations. We shall share the draft ESG rating report with the rated issuer or the issuer whose securities are being rated,

before publication of the same. Provided that the rated issuer or the issuer whose securities are being rated have requested/subscribed to us for the rating.

10. Engagement and Collaboration:

We sometimes if required directly engage with companies to verify data and clarify information. This can help ensure the accuracy and reliability of the ratings. Direct engagement with companies will help them improve their ESG practices and subsequently their ratings. Facilitating dialogue between companies and investors regarding ESG performance and strategies for improvement. Organizing webinars, conferences, and workshops to promote ESG awareness and best practices. Foster collaboration among companies, NGOs, and governments to drive positive ESG outcomes. Engagement with companies, investors, regulators, and other stakeholders to encourage ESG improvements and ensure that ratings drive positive changes in corporate behaviour.

11. Education and Outreach:

To promote awareness and understanding of ESG concepts, the provider might also engage in educational initiatives, such as webinars, workshops, and conferences. Generate awareness of our services through online campaigns, partnerships, and direct outreach to potential clients. Major focus will rely on educating the market on the importance of ESG factors and how our ratings can drive sustainable investment decisions.

12. Integration with Investment Processes:

Collaborations with industry associations, NGOs, and research institutions can enhance the credibility and scope of the ESG rating provider's services. Partner with financial institutions, ESG-focused funds, and other organizations to integrate their ratings into investment strategies and financial products.

Many investors use ESG ratings to inform their investment decisions. ESG rating providers might offer integration services that allow investment firms to incorporate ESG data into their decision-making processes.

13. Innovation and Development:

Companies are often compared against their peers or industry averages to provide context for their ESG performance. This helps investors and stakeholders understand a company's relative standing within its sector. To stay relevant and competitive, we acknowledge the need to continuously innovate our methodologies, improve data quality, and adapt to evolving ESG standards and regulations. We have efficient systems to track material developments related to environmental, social and governance factors to ensure timely and accurate ESG ratings.

It's important for us as an ESG rating provider to maintain independence, transparency, and accuracy in our assessment processes, as the ratings have a significant impact on investment decisions and the overall reputation of rated companies.

The effectiveness and credibility of our ESG rating business will rely heavily on the accuracy and objectivity of our assessments. Therefore, our crucial focus is to build a strong foundation of data integrity, analytical rigor, and transparent communication.

It's worth noting that the ESG rating industry is still evolving, with increasing attention on standardization, data accuracy, and the overall impact of ESG ratings on corporate behaviour and societal outcomes. The landscape in the ESG domain is always evolving further, so we are continuously researching for more recent sources on the latest developments in the ESG rating provider business.

Let's Build a Sustainable Future Together

Partner with CFC - ESG Ratings to unlock your organisation's true potential through AI-driven ESG insights.

What's Next?

- **Schedule Your Free ESG Assessment:** Begin your ESG journey today with a complimentary assessment of your current standing.
- **Customized ESG Solutions:** Let us help you comply with regulations, mitigate risks, and enhance your sustainability performance.

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Your Path to Better ESG Ratings Starts Here.
Let's shape a responsible and sustainable tomorrow—together.

Our Promise:

Empowering businesses with data-driven ESG insights for better decision-making, enhanced investor confidence, and measurable impact.



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